

Johnstone Supply INTERNAL CONTROL QUESTIONNAIRE

PURPOSE: Audits help determine the effectiveness of an HR function and/or HR systems. They are a systematic, objective tool to assess regulatory or policy compliance in the workplace.

Department: Human Resources/Operations	Auditable Function: Human Resources Audit Checklist
Discussed with: Ken Livingston, President	Date: July 29, 2019

Question	Yes	No	N/A	Comments
Management				
1. Are HR goals in line with those of the organization?		X		I have not seen any HR goals for the organization. I will speak with the President to create.
2. Are workweeks identified and defined?	X			Yes, the workweeks are identified during the interview process, in the offer letter & employee handbook.
3. Are full-time and part-time hours defined?	X			Yes, full-time & part-time hours are identified during the interview process, in the offer letter & employee handbook
4. Are shifts defined?			X	There is only 1 shift.
5. Is there open communication to and from the HR/Operations department?	X			This is done to all staff via email and on SharePoint.
Hiring				
1. Do job descriptions exist?	X	X		Job descriptions exist for some jobs but not all. We are in the process of updating many and creating others for all roles in the organization-President, Collections Clerk, Warranty Clerk, Warehouse Delivery Driver.
2. Are job descriptions up to date?	X	X		The most recent job descriptions are up to date but many others are not. We are updating and branding all job descriptions.
3. Are I-9 forms completed at hire correctly and acceptable		X		The Forms I-9 are separate from personnel files but are not

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documentation reviewed annually?				completed correctly or at all for any of the current and terminated employees. They are being kept in a locked cabinet. They are not being reviewed monthly so you can destroy any terminated employees I-9 after they meet the retention requirement and annually if any documents are expired.
4. Are job openings offered to current employees?	X	X		There is no formal process or posting. Management decides who will be a fit for the role and speaks directly to that employee.
5. Are applicant references checked?	X	X		Currently references are not being checked on candidates who have been given an offer letter.
6. Are turnover rates monitored?		X		No turnover rates are not being monitored.
7. Are selection processes used with reference to the <u>Uniform Employee Selection Guidelines</u> ?		X		There is no formal selection process in place for recruitment to comply with these guidelines. The HR Consultant is developing these.
8. Are all applicants required to fill out and sign an application form-online or on paper?	X			A paper application is required but it is not up to date. The new application is under review at this time.
Applicant Tracking System (ATS)				
9. Are applicants asked to voluntarily identify their EEO information?			X	No the company does not ask applicants for this information.as it has only 20 employees.
10. If applicable, do application forms identify that the employment relationship at the organization "at-will"?		X		The current application does not have an at-will statement. The new application does which is under review.
11. Do employment applications refrain from requesting protected information?		X		No it does ask about salary which under the new law is illegal. The new application form does not ask any protected information.

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12. Are independent contractors accurately identified?	X			Yes, any independent contractors are identified and paid as a 1099 consultant.
13. If the organization has a qualifying federal contract, is there an affirmative action plan?			X	This organization does not have any federal contracts.
14. Are all new hires reported to the IRS?	X			Yes, new hires are reported via the payroll company.
15. Are I-9s, payroll and medical information kept separately from personnel files?		X		All employee information is stored in one personnel file. The consultant will be auditing and correcting all files.
16. Do new employees fill out W-4 & IT-2104 forms at hire?	X			Yes, all new hires fill out W-4 and IT-2104 forms during orientation.
17. Are W-4 forms sent to the IRS?	X			The new hire & employees' tax information is sent to the payroll company who updates the IRS.
New Employees-Onboarding				
1. Are workplace policies in place?	X	X		There are some policies in place and they are working to update and communicate the new and existing policies.
2. Are policies communicated?	X	X		Yea and no, some are communicated at time of hire but there is no ongoing communication around workplace policies. We will be using SharePoint for this purpose going forward
3. Are policies signed-off on and enforced?	X	X		The current policies are signed off at time of hire. There is no discipline policy in place to enforce any infractions. Discuss with President.
4. Is there a current up-to-date employee handbook?		X		The employee handbook is not up to date but is currently being audited and corrected.
5. Is the employee handbook specific to your workplace?	X			The handbook is specific to Johnstone Supply.
6. Do employee orientations take place?	X			Yes, employee orientations take place on the first day of work.
7. Are employees trained on policies	X	X		Yes and no, new hires are told

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and work rules?				about policies and work rules but they are not brought up again such as during open enrollment.
8. Are pay rate acknowledgement forms given during orientation?	X			Yes the pay rate acknowledgement forms are created by the Controller or HR and given at orientation.
9. Are employees trained on discrimination and harassment issues?		X		No, employees and managers are not trained on discrimination & harassment issues.
Wages and Hours				
1. Are compensation levels monitored and reviewed?		X		No there is no salary structure. The Controller has been assigning pay rates. <i>No!</i>
2. Are employees correctly designated as exempt or nonexempt per FLSA?	X			Yes, employees are designated exempt and non-exempt according to FLSA by the Controller.
3. Is there a formal pay structure?		X		No, a consultant is creating their pay structure.
4. Is the salary structure reviewed regularly?		X		There is currently no salary structure. One is being created for the company.
5. Are Pay Rate Acknowledgement forms given each time an employee has a change to their pay rate?		X		No, they have not been given when pay rates have changed. The 2019 LS-54 and LS-59 forms have been saved to the shared drive to be used going forward. <i>ONLY REQUIRED AT HIRE SINCE 1/1/2015</i>
6. Is working time documented? Online or paper timesheets?	X			Yes, all employees use a time clock, which is connected to the payroll system, to punch in and out.
7. Are paid time off (vacation, holidays, etc.) structures developed?	X			Yes, they are outlined in the handbook and tracked through time & attendance.
8. Are non-exempt employees compensated at least one and one-half times their hourly wage for any hours worked beyond 40 a week?	X			Yes, all non-exempt are paid one and a half times their regular hourly rate when they work overtime that has been approved by the company.
9. Are the commission and bonus	X			Yes, the plans are

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plans communicated to all employees?				communicated at hire and throughout the year by management.
10. Are appropriate payroll withholdings performed?	X			Yes, the Controller, HR and payroll provider ensure that appropriate withholdings are performed.
Benefits				
1. Are employees informed about their benefits? When?	X			Yes, employees are notified during orientation of the company benefits and have a benefits orientation after their initial waiting period. This information is also on SharePoint but needs to be updated.
2. Are Benefit Summaries and Summary Plan Descriptions provided to plan participants?	X			Yes these are on SharePoint for all employees to download and review. These do need to be updated.
3. Are general COBRA notices provided to plan participants?	X	X		No, the general COBRA notice has not been provided to plan participants. <u>The HR Consultant sent the notice to the Controller to include in orientation.</u>
4. Are employees allowed up to 12 weeks of leave under the FMLA?			X	Employer has under 50 employees.
5. Are plan documents in compliance with ERISA?	X			Yes, the plan documents are stored in the HR office and are posted on SharePoint also handed out during benefits orientation.
6. Are managers and managers trained to report employee absences of more than three days to HR for FMLA purposes?			X	Employer has under 50 employees.
7. If there is a health care plan, is protected health information kept private?	X			Yes all protected health information is kept in a locked file cabinet in a locked office.
8. Are all Form 5500s completed and reported? Welfare and/or Retirement Plans?	X			Yes Form 5500 on the 401(k) plan is completed and filed annually according the IRS & DOL regulations.

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9. Are Summary Annual Reports posted and mailed to all plan participants?	X	X		Yes, the SAR is posted on SharePoint but was not posted where all other employment posters reside. Also separated or on leave participants were not being mailed the SAR.
10. Is Form 8955-SSA completed and reported for separated participants with vested benefits?	X			Yes, Form 8955-SSA is completed and filed annually with the IRS.
Employee Relations				
1. Does management check for effectiveness of the performance evaluation?	X	X		Some managers do performance evaluations on their employees. This has not been done consistently or annually throughout the organization.
2. Is quality and quantity of work evaluated?	X			Managers do routinely evaluate the quantity and quality of work for their employees even though it is often on an informal basis.
3. Is performance tied to compensation?	X	X		No, as the company has <u>bonus plans</u> that are paid out <u>monthly</u> along with commissions.
4. Is there a system for performance evaluation?	X	X		There is a performance evaluation which needs updating. Most managers use their own system to evaluate their employees.
5. Are workplace policies flexible?	X			Yes, the organization works with their employees as needed or requested and as practicable for daily business operations.
6. Are disciplinary actions for violating workplace policies flexible?		X		No, the organization does not have a formal discipline policy. Will discuss with the President.
7. Is there a process for employees to lodge complaints?	X			Yes employees are encouraged to lodge any complaints/concerns with their manager, President or HR as stated in the handbook and on SharePoint..
8. Are there a variety of individuals to whom employees may lodge	X			Yes, employees may speak their direct manager, President,

See Johnstone JEN site

and for

Question	Yes	No	N/A	Comments
complaints (manager, HR representative)?				Controller or HR.
Safety and Security				
1. Are safety hazards reported to the appropriate personnel?	X			Yes, there is an injury/accident report that is filled out and followed up on by the manager, Controller or HR.
2. Are workplace accidents, near-misses, injuries, and illnesses reported and investigated?	X	X		While accidents and injuries are reported, near misses are not.
3. Are measures in place to prevent intruders from entering the grounds or buildings?	X			The buildings are alarmed and locked. The grounds are monitored. The grounds are monitored by the local police.
4. Is bright, effective lighting installed indoors and outdoors?	X			Yes, the property is maintained by the owner of the complex. The lighting is bright indoors and outdoors.
5. Are measures in place (access badges, traffic control, etc.) to keep unauthorized persons from entering the facility through normal entrances?	X			Yes the buildings are alarmed and keyed. While the stores are open there is one entrance which is always monitored by staff, camera and bell as customers enter.
6. Is there a reliable response system in place in the event an alarm is triggered?	X			Yes, the alarm company is notified which triggers the response system in place.
7. Are employees encouraged to promptly report incidents, and suggest ways to reduce or eliminate risks?	X			Yes employees are encouraged to report any unsafe practices that may cause harm to management.
8. Are structures readily accessible to disabled employees?	X			Yes, the offices are on the first floor with no steps in or out to the parking lot. All restrooms are handicap-accessible.
9. Are minors prohibited from performing hazardous work?	X			Yes, the employer does not employ minors.
Discrimination and Employee Rights				
1. Does company have anti-discrimination & harassment policies in the employee handbook?	X			Yes. The employee handbook is being updated to include these policies.
2. Are employees trained on discrimination & harassment		X		No, employees have not been trained but are asked to sign off

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issues?				on these policies during orientation without any review of the policies.
3. Are managers trained on anti-discriminatory & anti-harassment practices?		X		No they have not been but will be beginning this year.
4. Are employment practices in line with the various anti-discrimination laws?	X			Yes the organization strives to follow the appropriate state and federal laws.
5. Are minors prohibited from working more than their hours allowed by the Fair Labor Standards Act?	X			Yes, the company follows the FLSA standards on how many hours a minor can work.
6. Are effective policies in place that prohibits retaliation against employees who exercise their rights?		X		There is currently no retaliation policy in the employee handbook. The new handbook under review does contain this policy as outlined in NYS law.
Workers' Compensation				
1. Are injuries/incidents investigated?	X			Yes, injuries and accidents are investigated by the manager, Controller and HR.
2. Is follow-up remediation performed where appropriate?	X			Yes, if retraining of the employee is needed the manager follows up.
3. Is regular contact made with employees out on lost time?	X			Yes, Controller ^{Manager} or HR will stay in contact with any employee who is out on WC.
4. Are return-to-work programs checked for effectiveness?	X			Yes, RTW programs are reviewed and revised as needed.
5. Is contact made with medical & other benefit providers?	X			Yes, HR handles the communication with the medical providers.
6. Are insurance premiums and competitive quotes reviewed on a periodic basis?		X		No, these have not been reviewed recently and should be taken out to bid.
7. Is the workplace environment maintained with safety in mind?	X			Yes, the workplace is well maintained with warehouses, hallways free of obstruction and offices well lit.
8. Are state (new and existing) requirements monitored?	X			Yes, the payroll is audited each year to meet state requirements.

Question	Yes	No	N/A	Comments
Employee Separation/Offboarding				
1. Do exit interviews take place? COBRA rights; other benefits?	X	X		Yes, exit interviews have taken place by the Controller but not all information has been given at time of the employee's exit. This has been corrected. <i>s/b HR?</i>
2. Are final paychecks provided on time?	X			Yes, Paychex is notified of employee's termination date and hours are sent for the final pay. <i>and IS Comp</i>
3. Is IT notified for security purposes?	X			Yes, IT is notified on or before the employee's termination date along with any other permissions the employee may have.
4. Is company property collected at Exit Interviews?	X			Yes, all property is collected before or during the exit interview. <i>See DEPARTURE LIST.</i>
Recordkeeping and Other Documentation				
1. Are personnel, medical, payroll files current and correct?		X		No, each individual employee's records are filed in one file. This will be corrected.
2. Are all appropriate labor posters displayed in a conspicuous place?		X		No, the labor law posters were not up to date and many were missing. This has been corrected for all three locations. <i>How about Lyons?</i>
3. Are documents regarding employees kept for their required duration or destroyed when they are past retention dates?	X	X		This was hit and miss for all files. Now after audit, all documents are being stored for the required period of time with files being marked the next destruction date.